DECLARATION OF THE INDEPENDENT STRUCTURAL AUDIT FUNCTION FOR CLIMATE FINANCE

ENHANCE Institute | July 2026

I. Purpose

Climate finance is entering a period of greater accountability.

For more than a decade, a central question has been whether sufficient climate capital can be mobilized. That question remains urgent. It is no longer sufficient on its own.

Climate-finance decision makers must also ask:

Does finance operate as declared? Does the instrument match the country, beneficiary, and risk? Does a project's theory of change connect activities to outcomes through a defensible causal mechanism? Can private capital realistically activate under the proposed conditions? Are mitigation, adaptation, resilience, transition, and carbon claims supported by evidence at a material scale? Do reported outputs provide credible evidence of durable outcomes?

ENHANCE Institute establishes an independent structural audit function to examine these questions across publicly documented climate-finance systems, projects, instruments, and claims.

II. Definition and Boundary

ENHANCE defines climate-finance structural audit as:

An independent, evidence-based examination of whether the causal, financial, institutional, beneficiary, and measurement structures of a climate-finance activity are aligned with its stated purpose and capable of supporting its claimed outcomes.

ENHANCE structural audit is not a statutory audit, financial-statement audit, regulatory certification, legal opinion, credit rating, or assurance engagement conducted under a recognized assurance standard. It is not an official evaluation performed under a mandate from the Green Climate Fund, a multilateral development bank, a government, or another assessed institution.

Structural audit does not replace fiduciary review, environmental and social safeguards review, engineering certification, scientific peer review, legal due diligence, formal accreditation review, or an institution's own monitoring and evaluation functions. It complements those functions by examining a distinct question:

Does the documented structure make sense, and what does the available evidence permit a decision maker to conclude?

III. The Accountability Turn

Across climate finance, related demands are becoming more prominent: transparency, traceability, verification, integrity, evaluation, and decision-useful sustainability information.

National transparency frameworks are expanding. Sustainability disclosure and assurance systems are increasing expectations for evidence and internal control. Public institutions and independent evaluators continue to assess whether climate-labelled expenditure produces relevant, effective, efficient, coherent, and sustainable outcomes. Carbon markets are strengthening requirements related to additionality, permanence, leakage, baselines, and monitoring.

These mechanisms perform essential functions. ENHANCE does not claim that oversight is absent. ENHANCE addresses a narrower layer that remains inconsistently examined across institutions and project types: the structural alignment between declared purpose, causal mechanism, financial instrument, beneficiary reach, implementation conditions, and verifiable outcome.

IV. The Schoolyard

The need for structural audit can be illustrated through a simple schoolyard.

A teacher rewards children for picking up litter. The yard becomes cleaner. Soon, children request payment for every piece they report collecting. Some pieces are new. Some may have been counted more than once. Some may have been placed there to generate a reward.

The number of reported collections increases, but the teacher cannot determine what caused the improvement, whether the same litter was counted repeatedly, or whether the incentive will produce a durable clean yard.

The problem is not necessarily bad intent. The problem is that the reward system does not distinguish activity from attributable outcome.

Climate finance faces the same structural risk when reported delivery is rewarded without sufficient attention to baselines, boundaries, additionality, attribution, durability, and beneficiary reach.

ENHANCE examines that distinction.

V. The Missing Layer

Existing institutions assess funding eligibility, fiduciary capacity, safeguards, implementation progress, reported results, and institutional performance. These functions are indispensable.

Structural audit connects questions that are often distributed across separate documents, teams, and stages:

Whether country vulnerability, fiscal position, institutional capacity, and debt context match the proposed financial instrument. Whether the theory of change is causally coherent under local physical, economic, and social conditions. Whether implementation assumptions are realistic. Whether public concessionality is necessary, proportionate, and directed toward the claimed public purpose. Whether private-capital mobilization reflects real activation, risk transfer, or accounting attribution. Whether outputs are capable of reaching intended beneficiaries and becoming durable outcomes. Whether ex-ante assumptions remain consistent with ex-post performance evidence.

ENHANCE refers to this analytical layer as Climate Finance Structural Audit.

VI. Work Completed Before This Declaration

This declaration names and formalizes work that ENHANCE has already undertaken.

ENHANCE has compared selected GCF funding proposals with subsequent performance reporting to test whether structural risk signals visible at design stage were directionally consistent with later implementation evidence.

ENHANCE has assessed the documented structural integrity of publicly available project portfolios across multiple countries and sectors.

ENHANCE has examined the climate-finance conditions of LDC and SIDS countries under defined structural criteria, including vulnerability, fiscal capacity, financial-market depth, and instrument suitability.

ENHANCE has conducted climate-financial risk assessments of international and Korean listed companies using documented analytical models.

ENHANCE has reviewed approval and financing patterns across 352 GCF-approved projects and programmes from 2015 to 2026, including changes in concessionality and the relationship between financial instruments, project categories, access modalities, and country conditions.

ENHANCE has developed analytical frameworks for causal integrity, financial alignment, country suitability, beneficiary reach, value realization, private-finance activation, transition credibility, carbon-claim review, and systemic allocation-pattern analysis.

These assessments were based primarily on publicly available information and were conducted without analytical direction from the institutions assessed. Each report must be read together with its stated scope, data limitations, assumptions, and methodology.

VII. Formal Establishment

ENHANCE Institute hereby establishes its independent structural audit function for climate-finance systems, projects, instruments, and claims.

ENHANCE does not claim statutory, regulatory, fiduciary, or institutional authority over the organizations it assesses. Its professional standing must be earned through the quality of its evidence, the transparency of its reasoning, the consistency of its methods, the relevance of its findings, and its willingness to correct material error.

The structural audit function rests on four foundations.

First, Independence. ENHANCE maintains analytical independence from assessed institutions, project proponents, implementing entities, funders, corporate claimants, and capital providers. Independence is evaluated and disclosed in relation to each engagement or publication.

Second, Methodological Architecture. ENHANCE uses documented analytical frameworks to examine causal integrity, financial alignment, country suitability, beneficiary reach, private-finance activation, transition credibility, carbon-claim evidence, and systemic allocation patterns.

Third, Public Record. ENHANCE publishes working papers, research reports, methodology notes, case assessments, and structural audit reports that allow material findings to be examined over time.

Fourth, Methodological Responsibility. ENHANCE accepts responsibility for distinguishing fact, calculation, assumption, inference, and opinion; documenting material limitations; considering plausible alternative explanations; and correcting material error.

We do not claim institutional infallibility.
We claim methodological responsibility.

VIII. Scope of Structural Audit

ENHANCE may conduct structural audits and related assessments across the following domains.

1. Climate-Finance Project Structural Audit. Whether a project is causally and operationally capable of producing its stated outputs, outcomes, and impacts. This may include climate rationale, theory of change, implementation feasibility, beneficiary reach, financial structure, risk allocation, measurement design, and impact claims.

2. Climate-Finance Project Performance Audit. Whether ex-ante design assumptions and structural signals are consistent with ex-post implementation and performance evidence. This may include funding proposals, annual performance reports, completion reports, disbursement, output delivery, outcome evidence, and material changes in design.

3. National Climate-Finance Architecture Audit. Whether the type and terms of finance provided to a country are aligned with vulnerability, fiscal capacity, debt context, institutional absorption capacity, financial-market depth, and structural need.

4. Private Climate-Finance Activation Audit. Whether blended finance, guarantees, equity, concessional lending, or other public interventions are plausibly necessary and capable of activating additional private capital. This includes additionality, risk allocation, proportionality, mobilization attribution, and potential private-benefit capture.

5. Corporate Climate-Financial Risk Audit. Whether a company's documented climate claims, transition pathway, physical-risk exposure, adaptive capacity, and financial-risk positioning are internally coherent and supported by available evidence.

6. Carbon-Claim Structural and Evidentiary Review. Whether a carbon reduction, removal, avoidance, offset, or nature-based claim has a defensible baseline, boundary, causal mechanism, additionality case, permanence structure, leakage treatment, reversal-risk response, and monitoring design. Where a material conclusion requires specialized scientific or engineering judgment beyond ENHANCE's competence, qualified external expertise should be sought and the limitation disclosed.

7. Transition-Finance and Greenwashing Risk Audit. Whether green bonds, sustainability-linked instruments, transition-finance structures, ESG-labelled products, and corporate decarbonization claims are aligned with a credible transition pathway and supported by decision-useful evidence.

8. Systemic Climate-Finance Pattern Audit. Whether observed allocation patterns across selected institutions, countries, instruments, project types, and climate objectives are aligned with documented structural need or show material patterns of mismatch, under-scaling, intermediation, weak final-use traceability, or responsibility transfer.

IX. Operating Principles

1. Independence and Conflict Disclosure. ENHANCE will disclose material financial, professional, or personal relationships that could reasonably be perceived to affect an assessment. ENHANCE will not allow an assessed party or sponsor to determine findings or suppress material conclusions.

2. Public-Data First. ENHANCE relies primarily on publicly available documents and datasets. When non-public or client-provided information is used, its role, source category, and material limitations will be described unless lawful confidentiality obligations prevent disclosure.

3. Evidence Classification. Material conclusions should distinguish documented fact, reproduced calculation, externally sourced evidence, assumption, analytical inference, and unverified claim.

4. Structural, Not Personal. ENHANCE assesses structures rather than personalities. It does not infer intent unless intent is directly relevant and supported by material evidence. A finding of structural misalignment is not, by itself, an allegation of misconduct.

5. Appropriate Expertise and Escalation. ENHANCE will not treat unfamiliar technical content as verified merely because it is presented in professional language. When a material conclusion depends on expertise outside the reasonable competence of the analyst, the issue should be classified as unverified pending appropriate specialist review.

6. Traceability and Reviewability. Material findings should be traceable to identified evidence and sufficiently explained to permit informed challenge. Proprietary models and internal scoring systems may remain protected, but a material conclusion should not depend solely on an undisclosed calculation that external readers cannot meaningfully examine.

7. Right of Response. Institutions, project proponents, companies, and other materially referenced parties may submit evidence-based responses. When practicable and proportionate, ENHANCE may offer an opportunity to respond before publication of a material adverse finding. Responses may result in clarification, revision, correction, an addendum, or a documented disagreement.

8. Correction and Version Control. ENHANCE will maintain a public correction mechanism for material factual, computational, or methodological errors. Material revisions should identify what changed, why it changed, and the effective version of the report.

9. Proportionality and Materiality. Structural audit should focus on issues capable of affecting the stated climate outcome, financial decision, beneficiary result, or risk allocation. Minor drafting defects should not be presented as structural failure unless they materially impair interpretation or verification.

10. No Substitution. ENHANCE structural audit does not replace statutory audit, assurance, scientific certification, engineering review, legal due diligence, safeguards review, credit analysis, or official institutional evaluation.

X. Determinations and Reporting

ENHANCE reports should explain the evidence, reasoning, limitations, and material alternative interpretations underlying a conclusion.

Where a summary determination is used, its meaning should be defined in the relevant report. A determination may include:

Supported: The material claim or structure is supported by evidence sufficient for the stated analytical purpose.

Conditional: The material claim or structure may be credible, but important evidence, assumptions, safeguards, or implementation conditions remain unresolved.

Unverified: Available evidence is insufficient to reach a defensible conclusion.

Structurally Void: A material claim depends on a causal, financial, physical, beneficiary, or measurement structure that is absent, internally contradictory, materially mismatched, or incapable of supporting the claimed result as documented.

These determinations are analytical opinions within the stated scope of the report. They are not legal verdicts, regulatory findings, credit ratings, or statutory assurance conclusions.

XI. Declaration of Responsibility

Climate finance must be accountable not only in volume, but also in structure.

ENHANCE examines whether finance, design, claims, beneficiaries, and outcomes are aligned. It asks whether capital is directed through an appropriate instrument for a defensible structural purpose and whether the available evidence supports the claimed result.

We do not audit intentions.
We examine documented structures and incentives.

We do not treat approval as verification.
We examine the architecture beneath the approval.

We do not claim authority over institutions.
We accept responsibility for the quality and limits of our own analysis.

Structural failures do not begin only at implementation. They are often readable at design.

ENHANCE exists to read them before their consequences become difficult to reverse.

ENHANCE Institute
Independent Structural Audit for Climate Finance

July 2026